



able job of financial inclusion and innovation. Now, the focus should be on encouraging the right financial actions. We see many fintech companies emerge, but we need to collectively educate customers to get them on board and help them understand the right behaviour in a language that they are familiar with.

Bridging trust: Customers will not be on board until they trust fintech firms. Here we can look to legacy banks and financial institutions and understand their operating principles, which have made them own-

ers of customer trust for generations. Without building trust, fintechs will remain an interface rather than grow into an institution.

Accelerating innovation: Fintechs have an enormous opportunity to reimagine the idea of financial services offerings. This means using tech to offer personalised services, narrowly targeted offerings depending on customer risk profile, and an experience that makes financial services as simple as checking Facebook. We need to take advantage of common digital frameworks and infrastruc-

ture to accelerate innovation.

Widening credit access: Credit penetration in most living expenditure categories is less than 5 per cent for households. Micro, small and medium enterprises (MSMEs) also lack access to formal credit with more than 60 per cent relying on costly informal sources of credit. Credit is a leading indicator of growth. As a fintech, one of the biggest contributions we can make to the economy is to help more Indians get access to credit, remove the stigma against taking or talking about credit, and incentivise the responsible use of credit. Without a strong credit ecosystem, we will not have a strong economic ecosystem.

Building together: All of the interventions above require a collective effort. Fintechs, banks, and regulators need to work together to support the country in GDP expansion. There is massive headroom for growth and for everyone to grow together if we keep the customer's interest as our primary goal.

The progress of the past few years has demonstrated how fintech as a sector can expand opportunities for digital banking and grow the market for new products and services. This growth can only be sustained when fintechs work collaboratively with the banking sector, which has earned decades of trust and plays a key role in maintaining economic stability, safety and security. After all, both the fintech and banking sectors are united in the mission for a more prosperous India@100, and by working together we can achieve our national goals, which is to enable financial progress for every citizen, well before India reaches its centenary. **BT**

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